

QUANT X CLUB

DIX
(DARK INDEX)

GEX

UNLOCK THE POWER OF DIX
SEE WHAT INSTITUTIONS ARE HIDING

TONIGHT 8:30 PM

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JOIN ZOOM



Quant X Club

15 Jan 2026

Quant X 2026

Foundation. Transformation. Domination

- A = AI Proficiency
- B = Back test and Deploy
- C = Celebrate All Successes

Jan 2026 – Options Omega Backtest

- Week 1: Options Omega Walk Through
- Week 2: Go Deep

The Invisible Hand of the Market

How smart money moves — and how we can *measure* it

- **Dark Pool Index**

The screenshot shows a settings window for a trading strategy. At the top, there are dropdown menus for 'Fourth' and 'Monday'. Below these are five toggle switches: 'Use VIX', 'Use Technical Indicators', 'Use Gaps', 'Use Intraday Movement', and 'Use SqueezeMetrics™ (Gamma / Dark Pool) Indicators'. The last toggle is turned on. To the right of the toggles is a tooltip that reads: 'SqueezeMetrics provides open access to end-of-day DIX, GEX, and GXV values. Please see <https://squeezemetrics.com/> for more information.' Below the toggles are input fields for 'Min DIX', 'Max DIX', 'Min GEX', 'Max GEX', 'Min GXV', and 'Max GXV'. The 'Min DIX' and 'Max DIX' fields have a '%' symbol next to them. Below these is a toggle for 'Use Opening Range Breakout'. Further down is a section titled 'Profit & Loss' with input fields for 'Profit Target' (set to 50) and 'Stop Loss', both with a '%' symbol. At the bottom is a toggle for 'Use Profit Actions' and a section titled 'Exit Conditions'.

Fourth Monday

☐ Use VIX

☐ Use Technical Indicators ⓘ

☐ Use Gaps ⓘ

☐ Use Intraday Movement ⓘ

☒ Use SqueezeMetrics™ (Gamma / Dark Pool) Indicators ⓘ

Min DIX ⓘ Max DIX ⓘ

Min GEX ⓘ Max GEX ⓘ

Min GXV ⓘ Max GXV ⓘ

☐ Use Opening Range Breakout ⓘ

Profit & Loss

Profit Target ⓘ Stop Loss ⓘ

50 % %

☐ Use Profit Actions

Exit Conditions

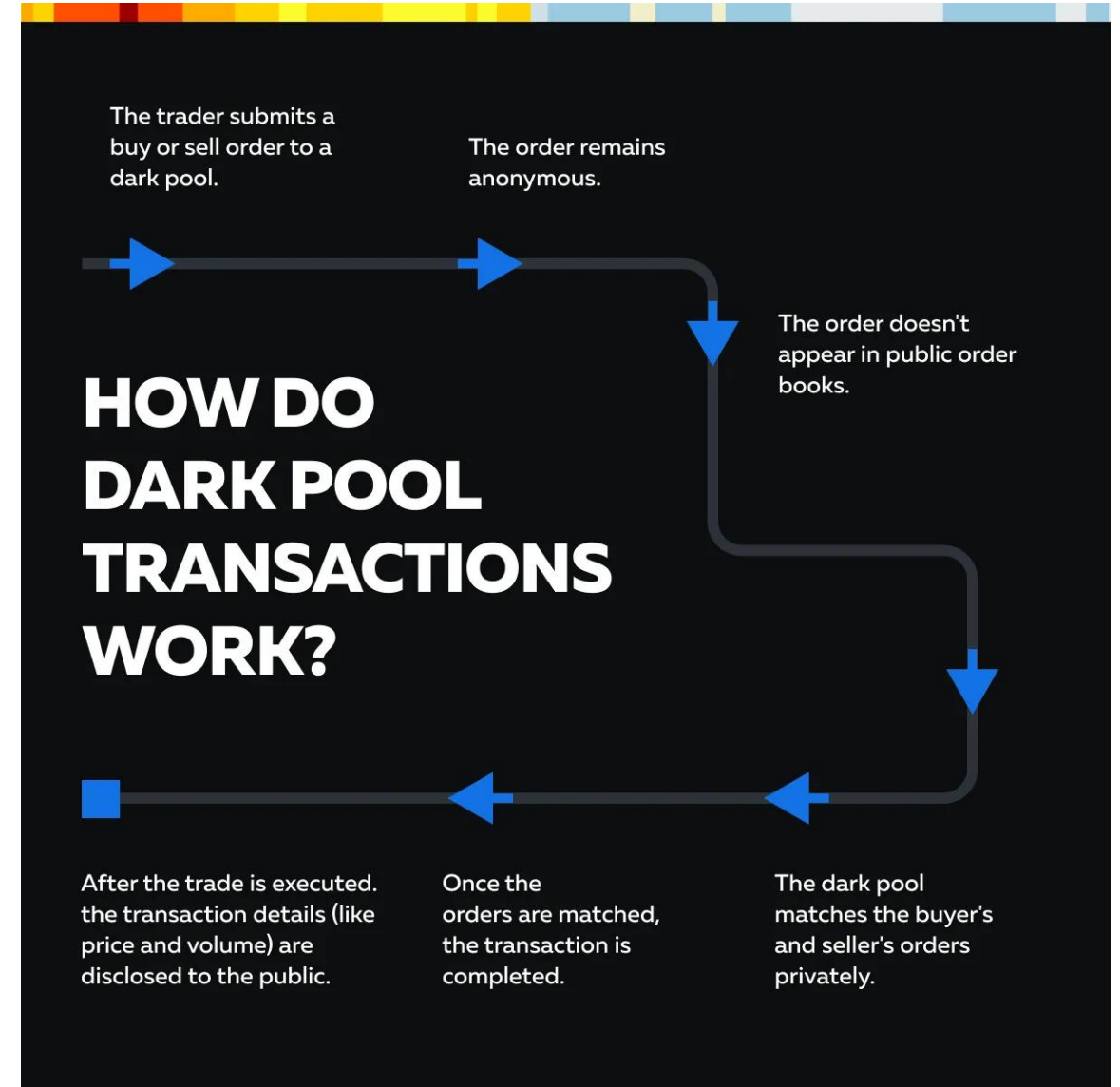
SqueezeMetrics provides open access to end-of-day DIX, GEX, and GXV values. Please see <https://squeezemetrics.com/> for more information.

The Market Has Two Worlds

Lit Market	Dark Market
Exchanges (NYSE, NASDAQ)	Dark Pools
Visible order book	No public order book
Retail dominant	Institutional dominant
Price discovery	Liquidity absorption

Dark Pool

- A **private trading venue** where large institutions trade **without showing size or intent**.



Why Institutions NEED Dark Pools

E.G

If BlackRock wants to buy **\$5 billion of stocks**:

- Showing that order = price explodes
- Retail front-runs
- Algorithms detect footprint

Dark pools solve this by

- Breaking orders into fragments
- Executing quietly
- Absorbing liquidity

Dark Pool

- Pension Fund/ Black Rock etc → Sends in a Dark Pool Order
1. Match with other institutions
 2. Market Maker takes the opposite side then sells in small packets

Regulation forces reporting **AFTER** the transaction

In the US:

- Dark pool trades must be reported to **FINRA (Financial Industry Regulatory Authority)**
- Short volume is disclosed **daily**

<https://www.finra.org/finra-data/browse-catalog/short-sale-volume-data>



[Rules & Guidance](#)

[Registration, Exams & CE](#)

[Events & Training](#)

[Filing & Reporting](#)

[Compliance Tools](#)

[For Investors](#)

[FINRA DATA](#)

[BROWSE DATA CATALOG](#)

Short Sale Volume Data

EQUITY API

The last 365 days of Short Sale Volume data is available in interactive grid below. For data beyond 365 days, you can download a [Daily Short Sale Transaction File](#), a [Monthly Short Sale Volume File](#), or use our [Query API](#).

[About Short Sale Volume Data](#)

Total Count: 136301

Columns

Filter

Export

Filters:

Date

Trade Facility	Date ↓	Symbol	Short Volume	Short Exempt Volume	Total Volume
NCTRF	2026-01-14	A	9	0	867
NQTRF	2026-01-14	A	138140	28	520359
NYTRF	2026-01-14	A	13101	0	29165
NCTRF	2026-01-14	AA	9159	0	20423
NQTRF	2026-01-14	AA	1346807	511	3470057
NYTRF	2026-01-14	AA	98956	0	224871

DIX = Dark Index

Short is Long

SHORT IS LONG

Using dark pool short sales as a proxy for buying activity

SqueezeMetrics
Research

March 2018

We're going to do three things in this paper.

First, we're going to tell you why a short sale in a U.S. exchange-traded stock is actually a meaningful indicator of *buying* activity. Then we're going to demonstrate this using only data that is freely available. Finally, we're going to invite readers to replicate our results (and extrapolate) using the same data, to which we will provide a URL.

Why Short Is Long

A short sale is the sale of a security that the seller does not own. Traditionally, short sales are associated with speculation—traders betting that a stock will go down.

But according to the SEC, trades marked with the seller "short" comprise about 49% of equity share volume.* In other words, about half of all selling volume in the market is *short* selling. Unless we actually believe that half of market volume is speculative short selling, this demands an explanation.

To understand, you need to know how market-makers (MMs) do business. Traditionally, market-makers make their money by "quoting a spread." This means placing a bid at, say, \$19.95, and an offer at \$20.00. Since the MMs have no position in the stock, the offer at \$20.00 is necessarily entered as a short sale—they don't own it, so they can't actually sell it.†

Now imagine the common scenario where one investor *sells* to the MM at \$19.95 and another *buys* from the MM at \$20.00. Knowing that MMs place short sales at the offer, we know that only one of these trades will be reported as "short"—the one where the investor is *buying* stock at \$20.00.

* See "Short Sale Position and Transaction Reporting" in the References.

† This is why MMs are exempt from short-selling restrictions.

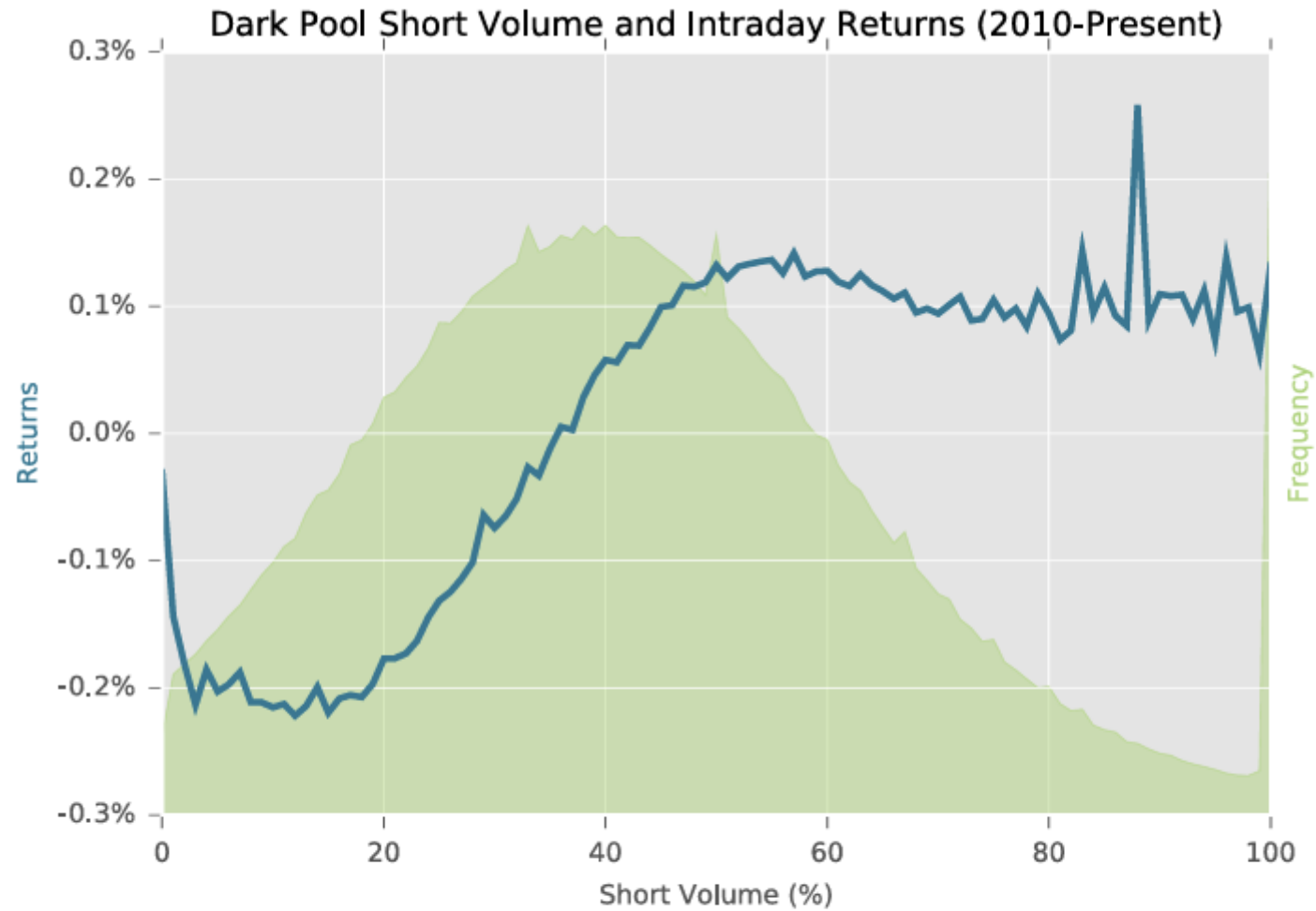
Investor	Market-maker	Sale reported as
Buys	Sells	Short
Sells	Buys	Long (not short)

DIX (Conceptual Formula)

- **DIX (Conceptual)**
- $$DIX = \frac{\text{Dollar value of short trades}}{\text{Dollar value of total trades}}$$

Dark Pool are whales/ institutions etc

- Market makers short shares to **fill institutional buy orders**
- Heavy shorting + price stability = **hidden demand from institutions**



We think that it is difficult to dispute that higher short volume correlates to greater intraday returns. As short volume rises above 35%, average intraday returns are uniformly positive. Similarly, below 35%, returns grow steadily more negative, and remain so.

Where to get data?

- **FINRA Reg SHO data**

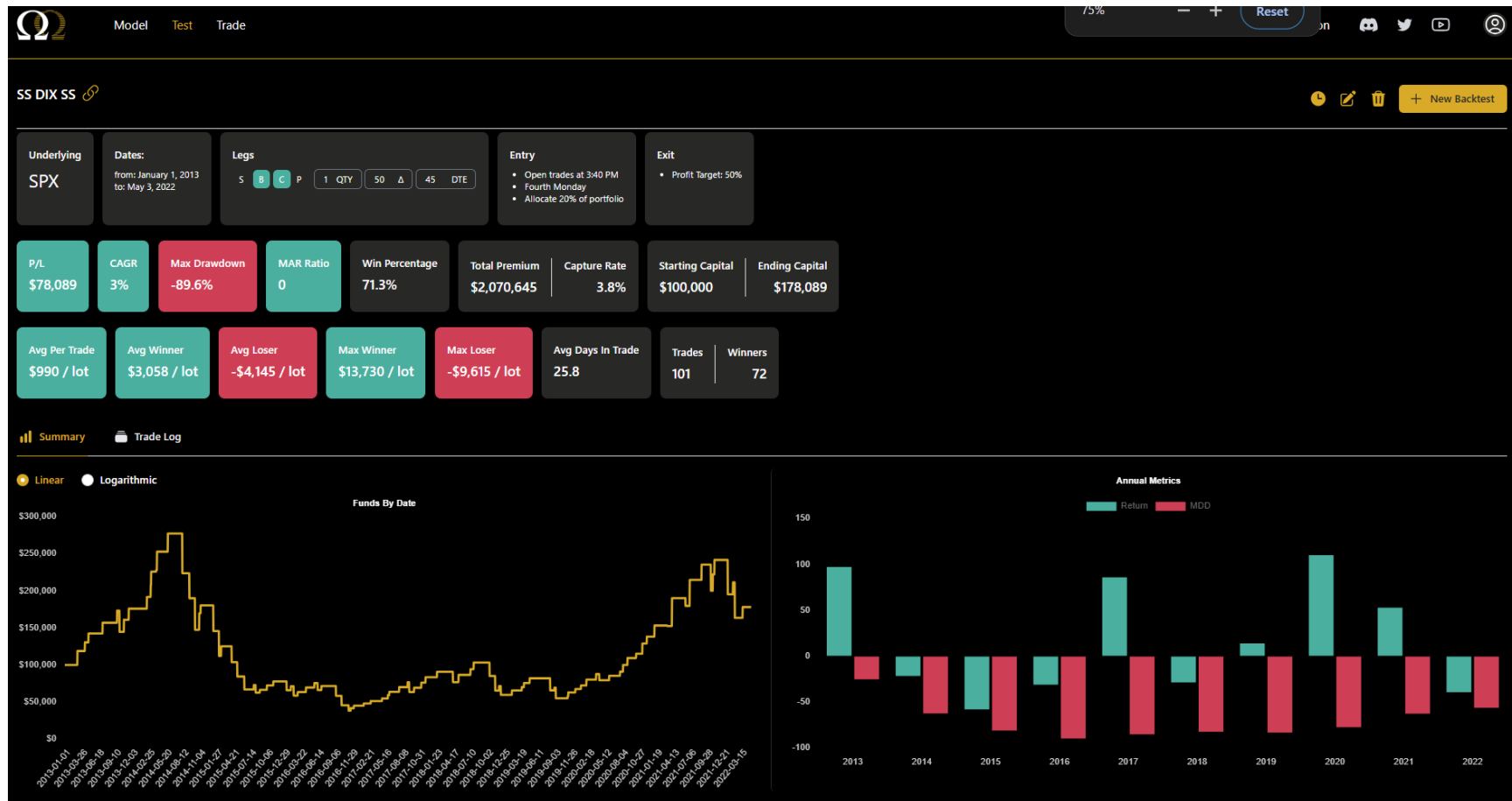
<https://www.finra.org/finra-data/browse-catalog/short-sale-volume-data>

Why FINRA Data can be a potential alpha filter?

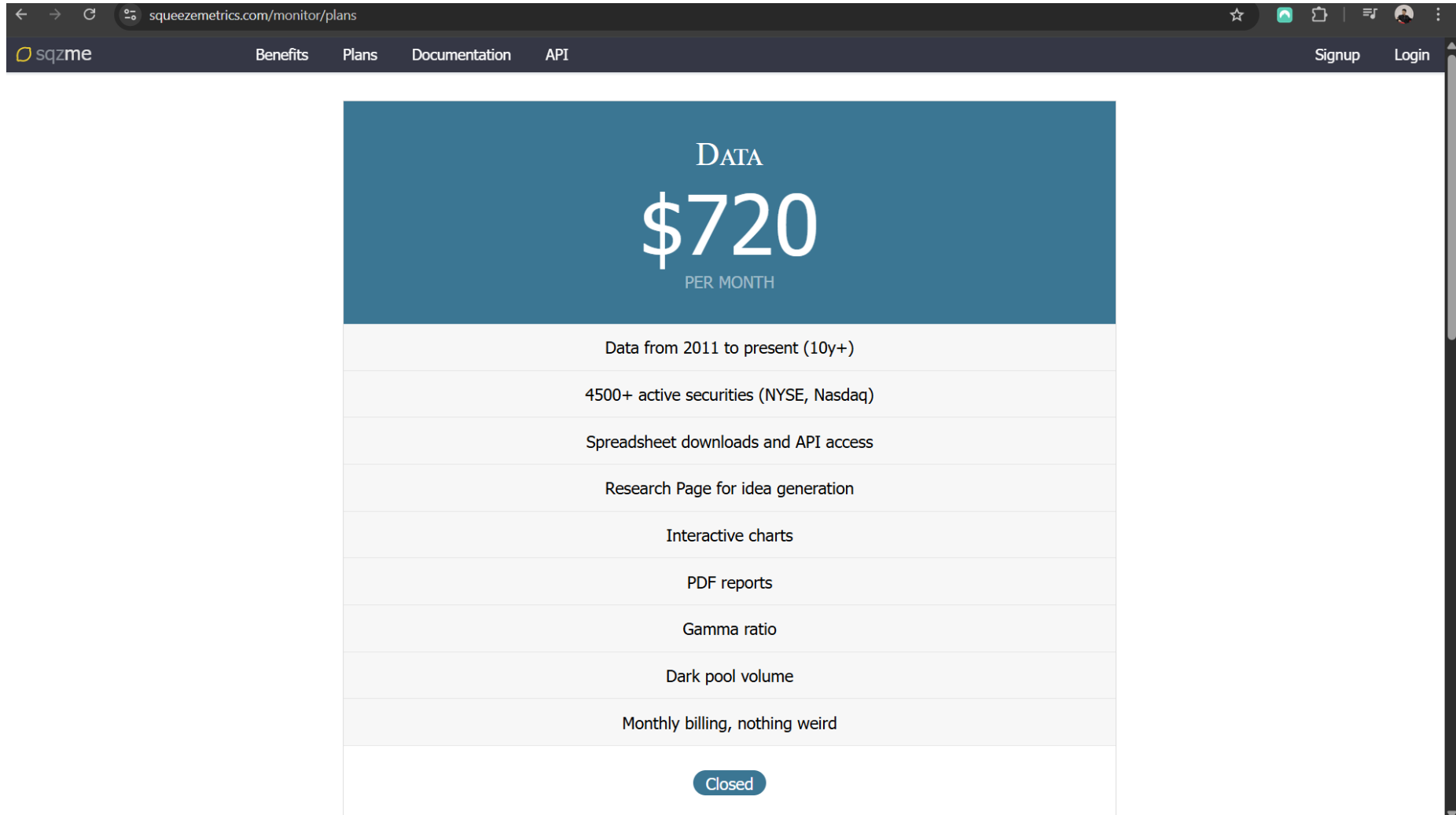
- **Why This Data Is Powerful**
 - Institutional-grade
 - Not based on indicators
 - Not derived from price
 - Cannot be manipulated by retail flow
- “Price is an *effect*. DIX is a *cause*.”

Example...

<https://optionomega.com/share/DospIUX0VPH9OPs6DHgc>



Where to Pull DIX for REAL Trading?

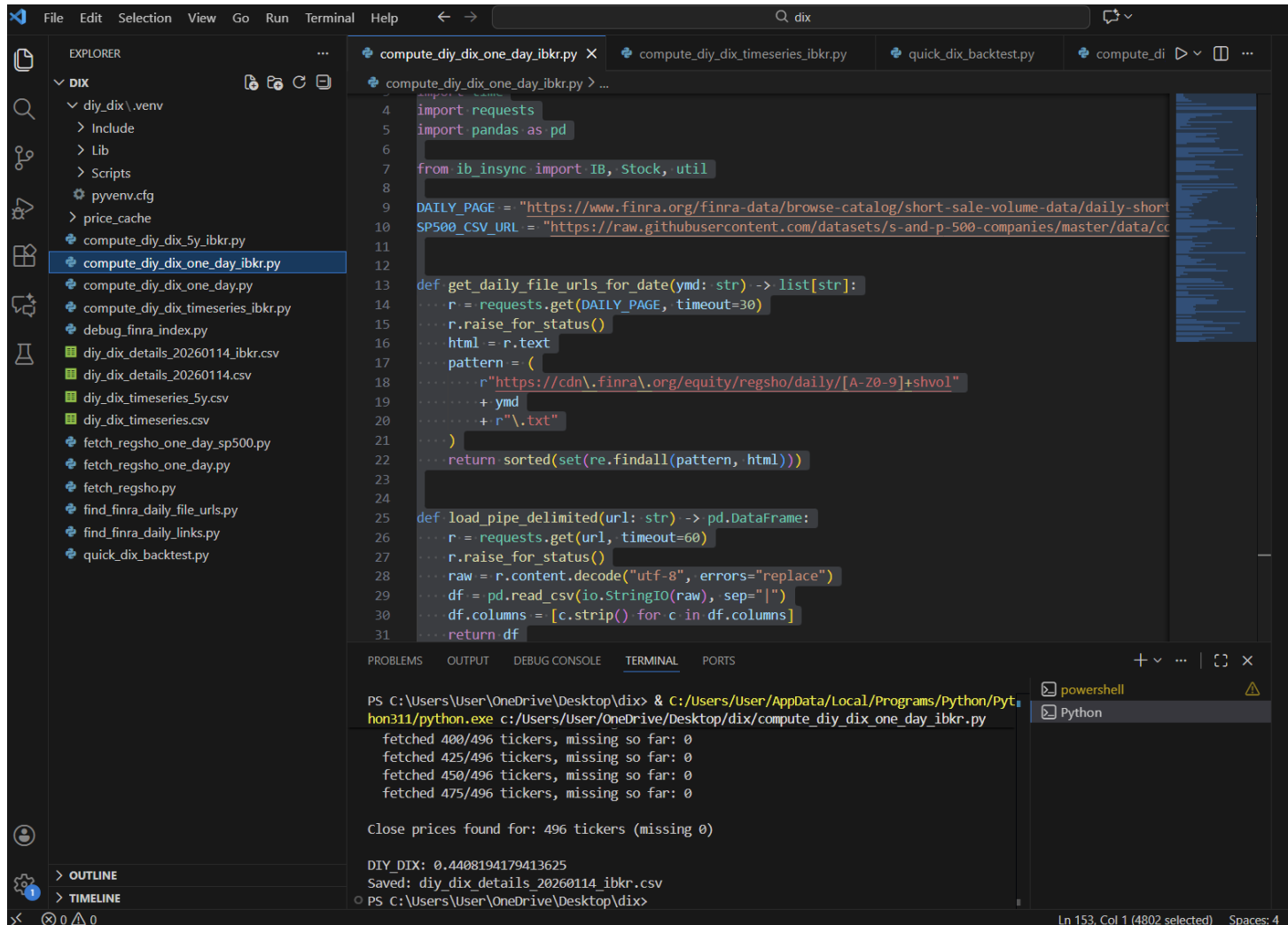


The screenshot shows a web browser window with the URL `squeezemetrics.com/monitor/plans`. The website has a dark header with the `sqzme` logo and navigation links: `Benefits`, `Plans`, `Documentation`, and `API`. On the right side of the header are links for `Signup` and `Login`. The main content area features a blue header with the word `DATA` and a large price tag of `$720` with `PER MONTH` underneath. Below this, a list of features is presented in a light gray box with a vertical scrollbar on the right. At the bottom of this list is a blue button labeled `Closed`.

DATA
\$720
PER MONTH
Data from 2011 to present (10y+)
4500+ active securities (NYSE, Nasdaq)
Spreadsheet downloads and API access
Research Page for idea generation
Interactive charts
PDF reports
Gamma ratio
Dark pool volume
Monthly billing, nothing weird

Closed

How Quant X get our own DIX



The screenshot displays a Visual Studio Code editor with a Python script named `compute_diy_dix_one_day_ibkr.py` open. The script is designed to fetch daily short-sale volume data from the FINRA website and store it in a CSV file. The code includes imports for `requests`, `pandas`, and `ib_insync`. It defines a `DAILY_PAGE` URL and a `SP500_CSV_URL`. A function `get_daily_file_urls_for_date` is used to retrieve a list of URLs for a given date. Another function `load_pipe_delimited` fetches the data from the URLs and loads it into a `pandas` DataFrame. The script also includes a `main` function that calls these functions and saves the data to a CSV file.

```
4 import requests
5 import pandas as pd
6
7 from ib_insync import IB, Stock, util
8
9 DAILY_PAGE = "https://www.finra.org/finra-data/browse-catalog/short-sale-volume-data/daily-short-sale-volume-data"
10 SP500_CSV_URL = "https://raw.githubusercontent.com/datasets/s-and-p-500-companies/master/data/nyse-listed.csv"
11
12
13 def get_daily_file_urls_for_date(ymd: str) -> list[str]:
14     r = requests.get(DAILY_PAGE, timeout=30)
15     r.raise_for_status()
16     html = r.text
17     pattern = (
18         r"https://cdn\.finra\.org/equity/regsho/daily/[A-Z0-9]+shvol"
19         + ymd
20         + r"\.txt"
21     )
22     return sorted(set(re.findall(pattern, html)))
23
24
25 def load_pipe_delimited(url: str) -> pd.DataFrame:
26     r = requests.get(url, timeout=60)
27     r.raise_for_status()
28     raw = r.content.decode("utf-8", errors="replace")
29     df = pd.read_csv(io.StringIO(raw), sep="|")
30     df.columns = [c.strip() for c in df.columns]
31     return df
```

The terminal window shows the execution of the script, which successfully fetched 496 tickers and saved the data to a CSV file.

```
PS C:\Users\User\OneDrive\Desktop\dix> & C:/Users/User/AppData/Local/Programs/Python/Python311/python.exe c:/Users/User/OneDrive/Desktop/dix/compute_diy_dix_one_day_ibkr.py
fetched 400/496 tickers, missing so far: 0
fetched 425/496 tickers, missing so far: 0
fetched 450/496 tickers, missing so far: 0
fetched 475/496 tickers, missing so far: 0

Close prices found for: 496 tickers (missing 0)

DIY_DIX: 0.4408194179413625
Saved: diy_dix_details_20260114_ibkr.csv
PS C:\Users\User\OneDrive\Desktop\dix>
```

Prompt for Chatgpt/ Claude (A= AI proficiency)

- You are a quantitative developer.
- Write a Python script that:
 - 1. Downloads FINRA Reg SHO daily short volume files
 - 2. Aggregates short volume and total volume by symbol
 - 3. Filters to S&P 500 stocks
 - 4. Fetches daily closing prices from Interactive Brokers using `ib_insync`
 - 5. Converts volume into dollar value
 - 6. Computes a DIX-style ratio
 - 7. Stores a daily time series since 2018
 - 8. Uses caching to avoid repeated API calls
 - 9. Handles class-share tickers like BRK.B correctly

Jan 2026 – Options Omega Backtest

- Week 1: Options Omega Walk Through
- Week 2: Go Deep
- Week 3: Creating Portfolio
 - Sharing by Alessandro Guido
 - Full Time Quant Trader Specialising in 0 DTE – Made more than 100% per year
 - Jan Challenge!

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